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Your 8% home loan *may really cost 8.6%.*

Two things to ask your bank before you sign: the Key Fact Statement and the APR.

Most of us pick a home loan by one number, the interest rate. But the rate is only part of the bill. Processing fees, legal and valuation charges, insurance and a dozen smaller charges sit around it. This guide shows you where those charges hide, the one document that has to list all of them, and the one number that tells you what the loan really costs.

1. **Ask for the KFS.** The Key Fact Statement lists every fee and charge. RBI rules make it compulsory for home loans, and a fee that is not in it cannot be charged without your explicit consent.
2. **Compare APR, not the rate.** APR adds the charges to the interest and gives one yearly cost. That is the number to compare across banks.
3. **Read it before you sign.** The bank has to explain it in a language you understand and give you time to check it.

RATE QUOTED	UPFRONT COSTS	REAL COST (APR)	THINGS TO ASK
8.00%	₹1.34 lakh	8.62%	2

PART 1 · WHERE THE CHARGES HIDE

15 charges that sit *around your interest rate*

Not every lender charges all of these, and names change from bank to bank. Use this as a checklist when you read your loan papers.

CHARGE	WHAT IT IS	WHEN
1. Login / application fee	Paid when you apply. Sometimes adjusted against the processing fee, sometimes not refunded if the loan is rejected.	UPFRONT
2. Processing fee	Usually a % of the loan amount, or a flat fee. The biggest upfront charge in most loans.	UPFRONT
3. GST on fees	18% GST is added on top of the bank's fees, so a ₹15,000 fee becomes ₹17,700.	UPFRONT
4. Legal / title search fee	A lawyer checks the property's title documents.	UPFRONT
5. Technical / valuation fee	An engineer or valuer inspects the property and fixes its value.	UPFRONT
6. Documentation / admin charges	For preparing and handling the loan papers.	UPFRONT
7. Stamp duty on loan agreement	State stamp duty on the loan documents.	UPFRONT
8. MODT stamp duty and registration	For registering the mortgage (deposit of title deeds) with the state. In Tamil Nadu this goes through the Registration Department.	UPFRONT
9. CERSAI charges	A small fee to record the mortgage in the central registry.	UPFRONT
10. Loan insurance premium	Life or property cover sold with the loan. Often a single large premium paid at the start.	UPFRONT
11. Penal charges	If an EMI is paid late.	IF IT HAPPENS
12. EMI bounce charges	When a cheque, ECS or NACH debit fails.	IF IT HAPPENS
13. Conversion / switch fee	To move to a lower rate or switch fixed to floating with the same lender.	DURING LOAN
14. Statement and copy charges	Extra statements, duplicate documents, list of documents.	DURING LOAN
15. Prepayment / foreclosure	For paying early or closing the loan. Not allowed on floating rate home loans to individuals (see Part 5).	IF IT HAPPENS

THE ONE THING TO NOTICE

None of these is illegal. The problem is only when you find out after signing. Every one of them has to be written in one document. That document is the KFS.

PART 2 · THE KEY FACT STATEMENT

The KFS: *every charge on one sheet*

KFS stands for Key Fact Statement. It is a short, standard format summary of your loan that RBI requires lenders to give you before you sign.

1 What the RBI rule says

RBI's circular on Key Facts Statement for Loans and Advances (15 April 2024) applies to all retail and MSME term loans, which includes home loans. It covers banks, NBFCs and housing finance companies, for loans sanctioned on or after **1 October 2024**.

1. **You get it before signing.** The KFS must be given to every prospective borrower before the loan contract is executed.
2. **In a language you understand.** The bank has to explain the contents and take your acknowledgement that you have understood it.
3. **It stays valid for at least 3 working days.** For loans of 7 days or longer. If you agree within that time, the lender is bound by those terms.
4. **It includes the APR and an amortisation schedule.** A sheet showing how the APR was worked out, and how each EMI splits into principal and interest over the full tenure.
5. **It becomes part of your agreement.** The KFS is shown as a summary box inside the loan agreement.
6. **No surprise fees.** Any fee or charge not mentioned in the KFS cannot be charged at any stage of the loan without your explicit consent.

2 What you will usually see in it

Loan amount and tenure, interest rate and whether it is fixed or floating, the benchmark it is linked to and how often it resets, how much your EMI changes if the rate moves by 0.25%, EMI amount and number of EMIs, fees payable to the lender, charges collected for third parties (insurance, legal and so on), the APR, charges that apply only if something happens (late payment, foreclosure, switching between fixed and floating), and the phone number and email of the grievance redressal officer.

> A SHORTCUT I USE NOW
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> If you don't know how to read it, ask the bank employee to walk you through it line by line. This is not a favour. Explaining the KFS is part of the rule. Ask: "Is there any charge I will pay that is not on this sheet?" The answer should be no.

PART 3 · APR

APR: the rate *after the charges*

APR (annual percentage rate) is the yearly cost of the loan once interest and all the lender's charges are counted together.

3 Why it is higher than the rate

The EMI is calculated on the full loan amount. But the charges you pay at the start mean the money that actually reaches you is smaller. You pay the same EMI on less money, so the real yearly cost goes up. RBI defines APR as the annual cost of credit including the interest rate and all other charges, and charges the lender collects for third parties, such as insurance and legal charges, are also part of it.

4 An example: ₹30 lakh for 20 years at 8%

ITEM	AMOUNT	NOTE
Loan sanctioned	**₹30,00,000**	20 years, 8% a year
Monthly EMI	**₹25,093**	240 EMIs
Processing fee	**₹17,700**	0.5% of loan + 18% GST
Legal, valuation, documentation	**₹16,520**	₹5,000 + ₹4,000 + ₹5,000, plus GST
Single premium loan insurance	**₹1,00,000**	Paid upfront
Money that actually reaches you	**₹28,65,780**	After ₹1,34,220 of charges
APR with fees only	**8.15%**	Without the insurance
APR with fees and insurance	**8.62%**	Same EMI, same tenure

Example figures, not any specific bank's charges. APR worked out as the yearly rate at which 240 EMIs of ₹25,093 repay the net amount received. Stamp duty and MODT paid directly to the state are left out here.

THIS TOOK ME A WHILE TO GET

Two loans can both say 8%. If one has ₹30,000 of charges and the other has ₹1.3 lakh, they are not the same loan. The APR shows the difference in one number.

ABOUT THE INSURANCE LINE

Insurance is the line that moves APR the most in this example. It does give you cover, so it is not wasted money. Still, check whether it is optional, compare its price with a standalone term plan, and decide for yourself instead of accepting it as a default.

PART 4 · HOW TO USE THIS

Reading your KFS *step by step*

What I would do with the KFS in hand, before signing anything.

5 Seven checks

1. **Ask for the KFS from every lender you are considering.** Get it in writing or as a PDF, with its proposal number and validity date.

2. **Put the APRs side by side.** Same loan amount, same tenure. The lower APR is the cheaper loan, even if its headline rate is higher.

3. **Go through every fee line.** Match it against the 15 charges in Part 1. Ask what each one is for, and whether it is refundable if the loan is not disbursed.

4. **Ask about insurance directly.** Is it mandatory? Is it single premium or yearly? Is it added to the loan amount? Can I bring my own policy?

5. **Check the rate type and benchmark.** Floating or fixed, which benchmark it follows (for example the repo rate), and how often it resets.

6. **Look at the contingent charges.** Penal charges, bounce charges and prepayment terms. These don't show up on day one, but they are part of the cost.

7. **Sign only after the KFS matches the agreement.** The summary box in the agreement should carry the same numbers. Keep a copy of both.

6 Questions you can ask at the branch

"Can you give me the Key Fact Statement for this loan?"

Every retail loan has one. You are entitled to it before signing.

"What is the APR, and can I see the computation sheet?"

The KFS includes how the APR was worked out.

"Is there any fee I will pay that is not listed here?"

A fee not in the KFS cannot be charged without your explicit consent.

PART 5 · YOUR RIGHTS AFTER SIGNING

Rules that *protect you* during the loan

The KFS is the start. A few other RBI rules decide what the lender can and cannot charge later.

7 Prepayment and foreclosure

Floating rate home loans to individuals have not carried foreclosure or prepayment charges for years. RBI's Pre-payment Charges on Loans Directions, 2025 make this explicit for loans sanctioned or renewed on or after **1 January 2026**: no prepayment charges on floating rate loans to individuals for non-business purposes, with or without co-borrowers, and no minimum lock-in period. Fixed rate loans can still carry a charge as per the lender's policy, and that must be disclosed in the KFS.

8 Late payment

Since 1 January 2024, RBI rules say a late EMI attracts **penal charges**, not extra penal interest added to your rate. These charges cannot be compounded (no interest on them), must be reasonable, and must be disclosed in the KFS and loan agreement.

9 Receipts and third-party charges

When the lender collects money on behalf of someone else, like an insurer or a lawyer, it has to be at actual cost and you should get receipts for each payment. Ask for them, and keep them with your loan papers.

10 If something goes wrong

1. **Complain to the lender in writing first.** Use the grievance contact listed in the KFS. Keep the complaint number.

2. **Escalate if there is no reply in 30 days, or the reply is not fair.** For banks and NBFCs, complain to the RBI Ombudsman under the Integrated Ombudsman Scheme, 2026, online at cms.rbi.org.in, within 90 days. Housing finance companies list their escalation route on their grievance page.

> WHAT FINALLY SETTLED IT FOR ME
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> The KFS is not just information. It is the limit of what the bank can charge you. If it's not on the sheet, they need your explicit consent to charge it.

WORDS YOU'LL HEAR

The glossary, *in plain words*

The terms that show up in a home loan file, explained simply.

KFS

KEY FACT STATEMENT

A standard summary of the loan with every fee, charge and the APR.

"Loan-oda motha jaadhagam oru page-la."

APR

ANNUAL PERCENTAGE RATE

Interest plus all charges, shown as one yearly cost.

"Unmaiyaana vatti idhu thaan."

EMI

EQUATED MONTHLY INSTALMENT

The fixed amount you pay every month until the loan ends.

"Maasa maasam kattra fixed amount."

Processing fee

UPFRONT FEE

What the lender charges to process your loan. GST is added on top.

"Loan file open panna kattanam."

MODT

MEMORANDUM OF DEPOSIT OF TITLE DEEDS

Registering your property papers as security for the loan.

"Veetu document bank kitta adamaanam."

Stamp duty

STATE TAX

A tax the state charges on documents like the sale deed and loan papers.

"Government-ku kattra document tax."

Amortisation schedule

REPAYMENT TABLE

Shows how each EMI splits into interest and principal, month by month.

"Ovvoru EMI-layum evvalo vatti, evvalo asal."

Floating rate

VARIABLE INTEREST

A rate that moves with a benchmark like the RBI repo rate.

"Market-oda serndhu maarum vatti."

Fixed rate

LOCKED INTEREST

A rate that stays the same for a set period, as per the agreement.

"Maaraadha vatti."

Prepayment

PAYING EARLY

Paying part of the loan before it is due, which cuts interest.

"Munnaadiye konjam kattiduradhu."

Foreclosure

FULL CLOSURE

Paying off the whole loan before the tenure ends.

"Motha loan-ayum mudichiduradhu."

Penal charges

LATE PAYMENT CHARGE

A fixed charge for a missed or late EMI. No interest on it.

"Late-aa kattina fine."

CERSAI

CENTRAL REGISTRY

A national registry that records which property is mortgaged to which lender.

"Veedu adamaanathula irukkunnu record."

Tenure

LOAN PERIOD

How long you take to repay, usually in years.

"Evvalo varusham kattanum."

Sanction letter

APPROVAL LETTER

The lender's written approval with the amount and key terms.

"Loan approve aana letter."

SOURCES AND DISCLAIMER

How the *numbers* were worked out

Where each rule comes from, and how the example was calculated.

1. **KFS rules:** RBI circular "Key Facts Statement (KFS) for Loans & Advances", RBI/2024-25/18, DOR.STR.REC.13/13.03.00/2024-25, dated 15 April 2024. Applies to retail and MSME term loans sanctioned on or after 1 October 2024. Source of the APR definition, the 3 working day validity, the language and acknowledgement rule, the summary box, and the rule that fees not in the KFS cannot be charged without explicit consent.
2. **Prepayment:** Reserve Bank of India (Pre-payment Charges on Loans) Directions, 2025, issued July 2025, applicable to loans sanctioned or renewed on or after 1 January 2026.
3. **Penal charges:** RBI circular "Fair Lending Practice: Penal Charges in Loan Accounts", 18 August 2023, effective 1 January 2024.
4. **Grievance:** Reserve Bank Integrated Ombudsman Scheme, 2026, in force from 1 July 2026 (replaced the 2021 scheme). Complaints through RBI's Complaint Management System, cms.rbi.org.in.
5. **Where these rules live now:** on 28 November 2025 RBI consolidated the KFS, penal charges and pre-payment instructions into its Responsible Business Conduct Directions, 2025, issued separately for each type of lender. The rules quoted in this guide come from the original circulars listed above.
6. **GST:** 18% on lender fees and charges.
7. **Tamil Nadu MODT and stamp duty:** rates and caps are set by the Tamil Nadu Registration Department and published figures differ between sources, so no amount is quoted here. Check the current figure on tnreginet.gov.in or ask your lender for the exact MODT cost before disbursal.
8. **Example in Part 3:** EMI from the standard formula, ₹30,00,000 at 8% a year (0.667% a month) over 240 months = ₹25,093. APR is the yearly rate (monthly rate x 12) at which 240 payments of ₹25,093 equal the net amount received (₹30,00,000 minus ₹1,34,220 of charges = ₹28,65,780), solved in Python. This is the same method RBI uses in its own KFS illustration (IRR on the net disbursed amount, reducing balance), which gives 17.07% for RBI's sample loan. Fee amounts are illustrative, not any lender's actual charges.

DISCLAIMER

This guide is for education only. It is not financial, tax or legal advice, and it does not recommend any specific bank, lender or insurer. I am not a SEBI-registered investment adviser. Charges, rates and rules differ between lenders and can change; the example uses assumed figures. Read your own Key Fact Statement and loan agreement carefully, and check with your lender or the official authority before acting.

Got your KFS? *Send me your loan's APR* on Instagram.

Free to share. Made by Abinash at **@buildwithabinash**. Send this to a friend who is about to take a home loan.